

At the same time, our analysis highlights channels through which Generative AI could transform labor markets over time.

First, while chatbots have not affected workers’ total earnings or hours, our administrative data reveal a clear link between adoption and occupational switching. This supports the view that Generative AI may help workers extend into new occupations, with broader implications for inequality in expertise across the labor market (Autor, 2024).

Second, aligning with theoretical predictions for how new technologies may reinstate labor demand (Acemoglu and Restrepo, 2018*a*), we find that AI chatbots have created new job tasks—extending even to workers who do not use the tools directly—signaling underlying workplace transformations.

Finally, consistent with Brynjolfsson and Hitt (2000), we find evidence that firm-driven complementary investments are critical to unlocking AI’s potential. While some investments—such as training or enterprise chatbots—can be counterproductive in isolation, adoption and reported benefits are substantially greater when firms combine encouragement, enterprise chatbots, and training.

Still, we believe that our key finding will remain central to understanding the labor market effects of Generative AI. Two years after the fastest technology adoption ever, overall labor market outcomes—whether at the individual or firm level—remain unaffected. Our results echo Robert Solow’s famous observation about the IT revolution: *“You can see the computer age everywhere but in the productivity statistics”* (Solow, 1987). As the literature on productivity J-curves underscores, even transformative technologies often take longer than commonly recognized to generate measurable economic effects (Brynjolfsson, Rock and Syverson, 2021; David, 1990).

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